
JUAN ZURITA

RESEARCH STATEMENT

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My research investigates how financial friction on both sides of the credit market—households and intermediate banks—shape the transmission of macroeconomic policy. Combining state-of-the-art empirical identification with quantitative structural models, I address two central questions: how do balance sheet constraints alter the potency of monetary and fiscal policy, and who bears the real burden of bank capital regulation? My work spans three interconnected agendas: household debt and policy transmission, banking heterogeneity and credit supply, and fiscal sustainability. Figure 1 maps the connections across these areas.

Household Debt and Policy Transmission

Standard New Keynesian frameworks assign no role to household debt in the transmission of aggregate policy. Central banks—including the RBA, Riksbank, and Norges Bank—have long suspected otherwise. My research validates this view empirically and theoretically.

In “*Does Household Debt Affect the Transmission Mechanism of Monetary Policy?*” (**Macroeconomic Dynamics**, 2026), I estimate a smooth-transition VAR (STVAR) on data from Australia, Sweden, Norway, and the G7. Two primary results emerge: first, the short-run output response to monetary easing is roughly 0.06 percentage points of GDP *larger* when household debt is elevated, as indebted households are highly sensitive to cash-flow changes. Second, high debt *reduces the persistence* of the stimulus over 4–8 quarters as debt-service obligations reassert themselves.

The fiscal counterpart, “*Does Household Debt Affect the Size of the Fiscal Multiplier?*” (**Macroeconomic Dynamics**, 2024), reveals a mirror image: government-spending multipliers are larger when household debt is *low*—by 0.70, 0.61, and 0.79 percentage points of GDP on impact in Australia, Norway, and the United States, respectively. Highly indebted households prioritize balance-sheet repair, saving rather than consuming the income generated by fiscal expansions.

Together, these papers establish household balance sheets as a first-order state variable for macro policy: the effectiveness of monetary and fiscal interventions critically depends on the economy’s position in the debt cycle.

In “*Household Debt and Low Labour Productivity*” (working paper, 2025), I examine the micro-foundations of this mechanism using Australian administrative microdata. Middle-aged mortgagors facing debt-service ratios above 20 percent respond to rising obligations by increasing labor supply. In an incomplete-markets model, this labor supply response amplifies short-run output responsiveness on the extensive margin but increases structural fragility to subsequent macroeconomic shocks.

Banking, Credit Supply, and Regulation

While my household debt agenda addresses the demand side of credit, three complementary papers analyze the supply side—the banking sector.

Banking heterogeneity and growth. In “*Banking Heterogeneity, Credit Supply and Economic Growth*” (*International Review of Economics and Finance*, 2026), I compile a novel dataset matching over 5,000 U.S. bank balance sheets to loan-level mortgage and commercial data. I show that standard macro models ignoring lender heterogeneity severely understate credit transmission: accounting for bank equity-size distribution amplifies the estimated impact of mortgage lending on local GDP growth by up to *sixty times*, and business lending by up to *eighteen times*.

Who bears the burden of bank capital regulation? (Job Market Paper) My job market paper evaluates the distributional and aggregate consequences of regulatory policy. Using narratively identified capital-requirement shocks matched to a panel of 4,800 U.S. banks (1994–2019), I establish two cross-sectional facts: *within* banks, commercial lending contracts by 40 percent more than real estate lending due to risk-weight differentials; *across* banks, institutions with thin voluntary capital buffers absorb the bulk of the contraction.

I rationalize these facts within a quantitative heterogeneous macro-banking model with precautionary capital buffers, solved globally and estimated on empirical impulse response functions. A one-percentage-point increase in capital requirements generates an aggregate credit-market surplus loss of 2.4–2.9 percent. Crucially, while redesigning risk weights or regulatory size tiers redistributes this burden across borrower types and bank sizes, it leaves the aggregate surplus loss largely unchanged. The macroeconomic cost is governed by the *level* of capital requirements, not their design.

The bank profit channel of monetary policy. In joint work with Jiening Le (submitted, 2026), we show how monetary policy tightening impacts bank profitability across the size distribution. High-frequency monetary surprises linked to Call Report data reveal a stark non-linear effect: a one-standard-deviation increase in expense-channel exposure compresses net interest income by 9 percent for small banks and 11 percent for large banks, but peaks at *19 percent* for mid-sized banks. This reflects a liability-substitution channel: mid-sized banks lack both the cheap deposit retention of small banks and the flexible wholesale funding access of money-center banks.

Fiscal Sustainability

As Principal Investigator on a Royal Society of Edinburgh grant, I analyze whether structural productivity gains can restore UK fiscal balance without tax hikes (“*Labour Productivity Growth and the Fiscal Sustainability Programme in the United Kingdom*,” working paper, 2025). Within a DSGE framework, I prove this is insufficient: maintaining real government spending per worker without expanding the debt-to-GDP ratio necessitates higher taxation regardless of productivity growth. I show that while capital taxes repair the fiscal deficit, they severely impair long-run growth; labor taxes represent the least distortive consolidation instrument.

Future Agenda

My future research bridges household credit demand with institutional bank credit supply:

- *Earnings risk and cyclical credit dynamics* (with Emiliano Carlevaro): Modeling how countercyclical

earnings risk interacts with household portfolio choices and bank balance-sheet constraints over the business cycle.

- *Macroprudential policy in a two-sided debt economy*: Building a unified general-equilibrium framework where bank capital requirements interact dynamically with household debt cycles to evaluate joint monetary-macroprudential rules.

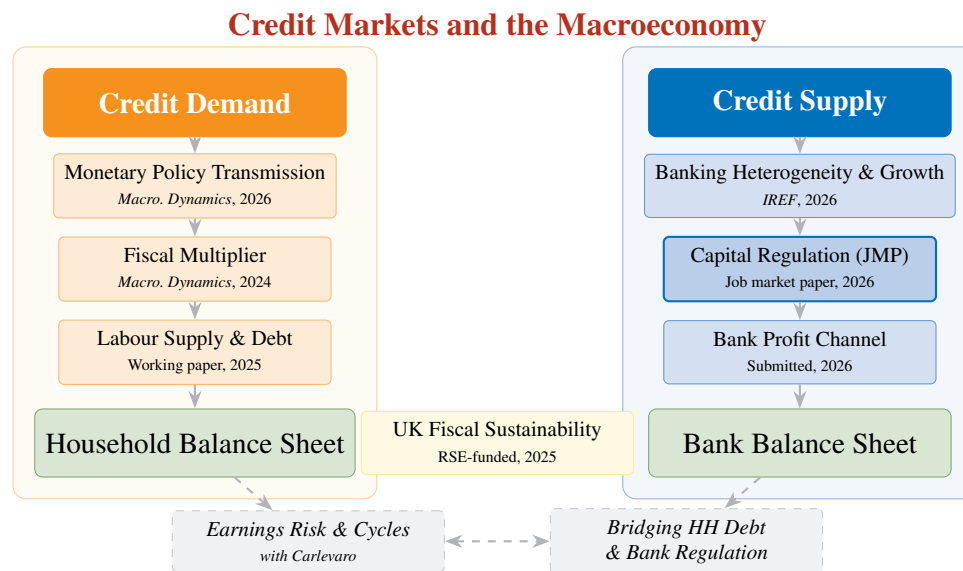


Figure 1: Research agenda: Credit markets and the macroeconomy. Solid arrows trace the progression of completed work; dashed arrows indicate planned projects that bridge the demand and supply sides.

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